

When Expectations Are Too High, a Neutral Quarter Feels Like a Bad One

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Neutral. For the first time in many quarters, NVIDIA had what we would call an uninspiring neutral quarter. While revenues were in line with lofty buy-side expectations (USD30bn), everything else was a bit below the forecasts. The top-line guidance of USD32.5bn was just a tad lower than the bogey (USD33bn), and margins were probably the main negative of both the print and guidance. Even though NVIDIA had already indicated that gross margins would go through contraction, the pace was somewhat higher than (once again) very high estimates.

All in all, this was a key topic in the conference call. Our perception is that there are several optimization headwinds that come with new architectures, and it takes time to optimize. The pipeline of new products increases substantially in the next few quarters (2-3), creating a higher hurdle for gross margins. While we don't forecast quarters for FY26 in our model, we believe that the GM will keep going down in the beginning of the year and improve throughout FY26 as Blackwell matures.

Interestingly, NVIDIA also addressed the Blackwell delays. There was no change in schedule compared to what was communicated to the market last quarter, which should result in no impacts to the P&L compared to previous expectations. While we believe that H200 is accretive to earnings compared to B100 (as we've written [here](#)), we believe that the market can view this positively.

Elsewhere, while the company didn't comment on FY27 (important especially for the LOs), it reminded us of the large opportunity ahead. There is a USD 1 tn TAM for a transition from general purpose to accelerated computing. Then there is another USD1tn for Gen AI itself. A great part of what we see is just the first leg, and NVDA could address ~70% of the opportunity in the longer term. This makes us think that a cyclical reversal in the stock (semis are cyclical!) could create an opportunity if it eventually happens.

All in all, we are increasing our numbers for FY25 as we were below consensus, but we are slightly lowering our estimates for FY26 due to margins. We remain significantly ahead of the street with an EPS of USD 5.47 for FY26 – implying a 25x P/E with the stock price after hours. We believe that the stock will likely be range-bound, and we don't see much room for upward revisions. As we have recently mentioned [here](#), we are concerned about the hyperscaler's capex implied by NVIDIA estimates for FY26/FY27 – in our view, this translates into a better asymmetry in upstack players like MSFT (vs NVDA) at least at this point. For now, we maintain our Outperform rating, but we are closely monitoring for new events/triggers.

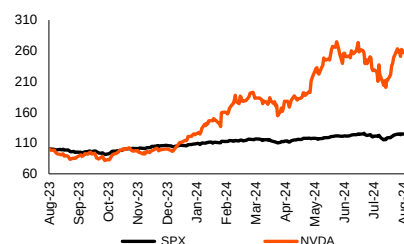
- **Data Center:** Data center revenue reached \$26.3 billion (+16% QoQ and +154% YoY). The growth was driven by demand for Hopper GPUs, as well as computing and networking. Cloud service providers accounted for approximately 45% of the data center revenue, with over 50% coming from consumer, Internet, and enterprise companies.
- **Expansion into Sovereign AI Opportunities:** NVIDIA is expanding its sovereign AI opportunities. This growth is supported by initiatives such as Japan's AI Bridging Cloud Infrastructure 3.0, as well as other countries like Italy, France, Singapore and India, aiming to build their own customized data intelligence.

Ticker (local) NVDA
Target Price - USD(YE25) 164.00

Stock Data

Current price	USD	125.61
Upside (YE25)	%	30.4
52 Week high/low	USD	140.76/39.23
Shares outstanding	th	24,763,513
Market capitalization	USD m	3,110,545
3-mth avg daily vol.	USD m	42,038
Performance (%)	1m	12m
Absolute	13.5	178.9
Vs. SPX	10.1	118.4

Company x SPX



Source: Itaú BBA

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- **NVIDIA's NIM:** NIM's are accelerating and simplifying AI adoption in many industries, such as healthcare, retail, and telecommunications. For example, AT&T achieved a 70% reduction in costs and an 8-fold improvement in latency after integrating NIMs for generative AI, call transcription, and classification.
- **Gross Margins and Share Repurchase:** GAAP gross margins were 75.1%, and non-GAAP gross margins were 75.7%, slightly down sequentially due to a higher mix of new products within the data center and inventory provisions for low-yielding Blackwell material. The company returned \$15.4 billion through shares repurchased and dividends.

Trading Multiples

Years	2024e	2025e	2026e
EV/EBITDA	37.5x	20.4x	15.0x
P/E	44.9x	25.1x	18.9x

Source: Itaú BBA

New x Old

Income statement (mln)	FY24	FY25	FY26
Net Revenues			
Old	121,179	233,532	311,391
YoY Growth	98.9%	92.7%	33.3%
New	128,126	232,414	310,021
YoY Growth	110.3%	81.4%	33.4%
Dif. New vs Old	5.7%	-0.5%	-0.4%
Gross Income (non-GAAP)			
Old	91,515	173,226	223,194
Margin	74.8%	73.5%	71.0%
New	96,978	171,007	221,908
Margin	75.7%	73.6%	71.6%
Dif. New vs Old	6.0%	-1.3%	-0.6%
EBIT (non-GAAP)			
Old	82,269	158,539	203,356
Margin	61.3%	61.5%	59.0%
New	87,439	154,874	200,134
Margin	68.2%	66.6%	64.6%
Dif. New vs Old	6.3%	-2.3%	-1.6%
Net profit (non-GAAP)			
Old	68,626	134,612	174,563
New	71,852	132,005	171,938
Dif. New vs Old	4.7%	-1.9%	-1.5%
EPS (non-GAAP)			
Old	2.77	5.48	7.18
New	2.92	5.46	7.26
Dif. New vs Old	5.2%	-0.5%	1.1%

Source: Itaú BBA



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Market Perform	The analyst expects the stock to perform in line with market average.	36%	40%
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